60-MINUTE STRATEGY CASE

Orders grew 25%, but operating margin fell from 8% to 3%

How should a meal-delivery company restore profitability without damaging growth?

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Analysis completed as a 60-minute case exercise • Presentation built separately
Presentation developed afterward • Illustrative company data • No external research

DATA PROVIDED

Five metrics are provided, but no segment data

All figures below are provided, not derived

Metric	Prior year	Current year	Change
Orders	1.00M	1.25M	+25%
Revenue	$30.0M	$36.0M	+20%
Revenue / order	$30.00	$28.80	-4%
Delivery cost / order	$8.00	$9.40	+18%
Operating margin	8.0%	3.0%	-5.0 pp

Scope & Assumptions No segment or other-cost detail is provided. Illustrative target: restore the prior 8% margin. Sensitivity holds orders at 1.25M and does not model elasticity.

INITIAL APPROACH

Before the exhibit, tested four profit drivers

Why did operating profit fall 5 points?

Revenue Drivers

Order Volume

- Customer count
- Order frequency

Revenue / Order

- Price
- Discounts
- Order mix

Cost Drivers

Delivery Cost / Order

- Courier cost
- Zone density
- Distance

Fixed & Other Cost

- Technology
- Support
- Overhead

Starting Hypothesis Growth may be masking weaker unit economics through lower revenue per order or higher delivery cost per order.

Segmentation lens Test every branch by zone • customer cohort • order type

Orders outpaced revenue, cutting revenue per order 4%

1. Calculated revenue per order

Prior year: $30.0M ÷ 1.00M = $30.00

Current year: $36.0M ÷ 1.25M = $28.80

2. Measured the per-order decline

$28.80 – $30.00 = -$1.20 per order

-$1.20 ÷ $30.00 = -4.0%

Revenue per order fell 4%

3. Translated the decline into annual pressure

Revenue / order impact:
(-$1.20) × 1.25M orders = -$1.50M

What it means:

The company added orders faster than value.

Annual Pressure:
$1.50M

Provided data: orders increased from 1.00M to 1.25M; revenue increased from $30.0M to $36.0M.

CALCULATION 2

Delivery cost per order increased 18%, creating $1.75M of pressure

1. Compared delivery cost per order

Prior year: $8.00 per order

Current year: $9.40 per order

2. Measured the per-order increase

$9.40 - $8.00 = +$1.40 per order

$1.40 ÷ $8.00 = +17.5% ≈ 18%

Delivery cost per order rose 18%

3. Translated the increase into annual pressure

Delivery cost impact:
$1.40 × 1.25M orders = $1.75M

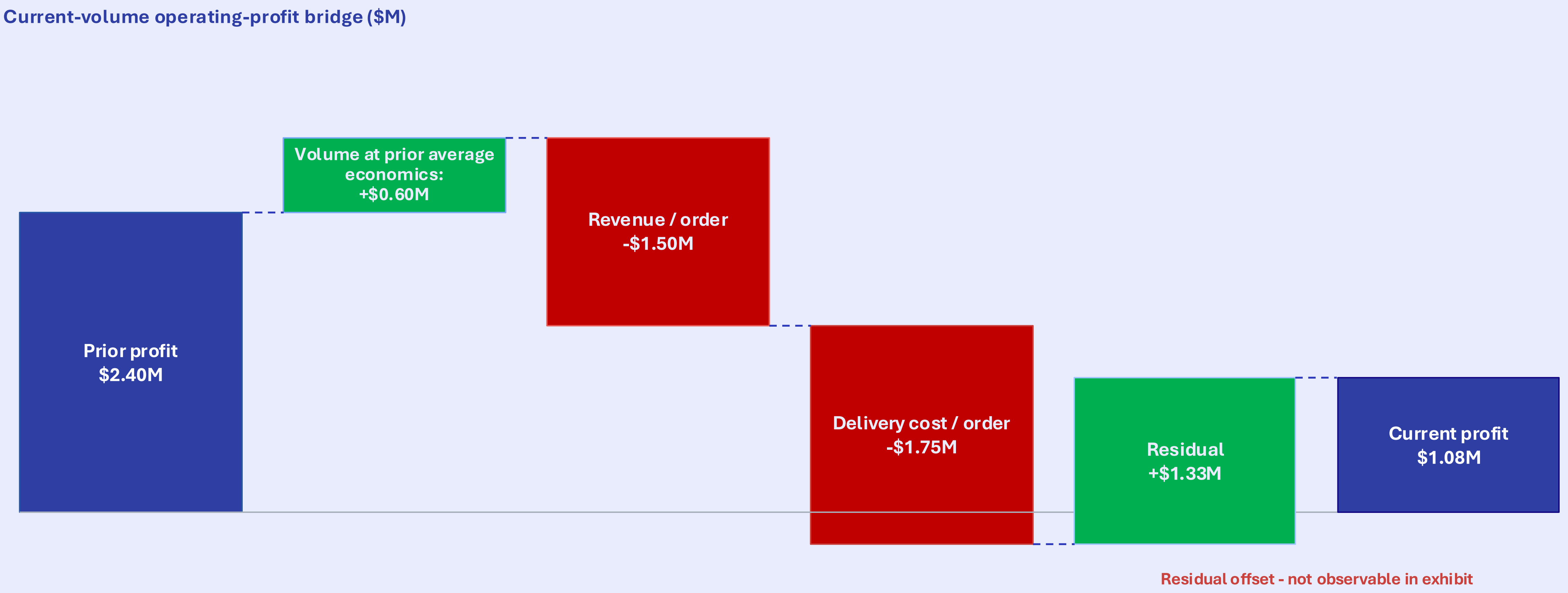
What it means:

This exceeds the revenue-per-order pressure.

Annual Pressure:
$1.75M

Provided data: delivery cost per order increased from $8.00 to $9.40

A $1.33M residual partly absorbed $3.25M of pressure



Arithmetic reconciliation

$2.40M + $0.60M - $1.50M - $1.75M + $1.33M = $1.08M

Residual may include scale leverage or other unobserved effects; it is not causal attribution

CALCULATION 4

An illustrative 8% target requires $1.80M

1. Calculated target operating profit

Target profit: $36.0M × 8% = $2.88M

Current profit: $36.0M × 3% = $1.08M

2. Sized the annual recovery required

$2.88M – $1.08M = $1.80M

Required annual improvement

Required recovery: $1.80M

3. Spread the recovery across all orders

Across the full order base:
$1.80M ÷ 1.25M orders = $1.44 per order

What it means:

The required action depends on concentration.

Across all orders:
$1.44 per order

Assumes revenue and order volume remain at current-year levels; customer demand response is not modeled

CONCENTRATION SENSITIVITY

A narrower problem requires more recovery per order

Illustrative sensitivity, not a finding from the exhibit

Affected share	Affected orders	Recovery / order	Vs. full-book requirement
100%	1,250,000	$1.44	1.0×
50%	625,000	$2.88	2.0×
30%	375,000	$4.80	3.3×
20%	250,000	$7.20	5.0×
10%	125,000	$14.40	10.0×

Assumption The full $1.80M recovery comes from affected orders; total orders stay at 1.25M and elasticity is not modeled.

Assumes revenue and order volume remain at current-year levels; customer demand response is not modeled

RECOMMENDATION

Locate the deterioration first, then test the narrowest effective response

What the analysis support:

Under the illustrative 8% target, the analysis sizes a $1.80M recovery requirement, but the exhibit does not reveal where the deterioration occurred.

Segment

Compare revenue and delivery cost per order by zone, customer cohort and order type.

Pilot

Match the intervention to the diagnosed cause and test it only in affected segments.

Scale

Expand only if contribution improves while retention and service remain acceptable.

Decision Rule:

Do not scale a broad cost or pricing program until the cause and concentration are measured.

What the case proves:

An illustrative 8% target requires $1.80M of recovery; the right intervention depends on where the gap sits.